



PUMA: Supply Chain Operations and Loyalty Programme

This case was written by Professor Sachin Upadhaya (Sanjivani Business School), Ritesh Patel (Sanjivani College of Engineering, Savitribai Phule Pune University) and Sujo Thomas (Amrut Mody School of Management, Ahmedabad University). It was compiled from published research sources, and is intended to be used as a basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The authors would like to acknowledge the contribution of Retail Management Project coordinator Nihar Kalolia and other group participants.

Sanjivani Business School

Sanjivani Group of Institutes,

Kopargaon, Maharashtra - 423603

Sanjivani College of Engineering

Savitribai Phule Pune University

Kopargaon – 423603, Maharashtra

Amrut Mody School of Management

Ahmedabad University

Ahmedabad – 380 009

Gujarat, India

Ph. No.: 9727592517

Email Id: sujo.thomas@ahduni.edu.in (Corresponding Author)

©2024 Sanjivani Business School, Sanjivani College of Engineering, Savitribai Phule Pune University and Amrut Mody School of Management, Ahmedabad University. No part of this publication may be copied, stored, transmitted, reproduced or distributed in any form or medium whatsoever without the permission of the copyright owner.

PUMA: Supply Chain Operations and Loyalty Programme

PUMA is a well-known German multinational company that produces athletic and everyday footwear, clothing, and accessories. PUMA is the world's third-largest manufacturer of sportswear products. In 1948, Rudolf Dassler founded this company. PUMA has been a publicly traded company on the Frankfurt Stock Exchange since 1986. PUMA India stated an annual revenue of about 30 billion Indian rupees in the financial year 2023. The market cap of PUMA is \$6.71 billion as of 2024. PUMA's supply chain operations team faces certain issues such as fluctuating commodity prices, rising wage costs, and uncertain trade environment. Likewise, brand switching was on high among consumers due to which customer loyalty was on the top priority for PUMA. PUMA required an ideal loyalty program which targeted customer retention in the long run. The case attempts to discuss challenges and opportunities for PUMA and deliberates on areas pertaining to its future business growth decisions.

INDIAN RETAIL INDUSTRY

The Indian retail industry has experienced tremendous growth in the last decade. India is ranked second in the Global Retail Development Index 2021. The factors that make India attractive include increasing urbanization, rising household incomes, growing rural consumers, and high consumer spending. The Indian retail industry contributes 10% to India's GDP and 8% to generating employment. According to Kearney Research, India's retail industry is projected to grow 9% over 2019-2030 and more than US\$ 1.8 trillion by 2030.

Retailing is divided into organized and unorganized segments. The licensed retailers who are registered are part of organized retailing. The various forms of organized retail are hypermarkets, supermarkets, department stores, specialty chains, and malls. The Indian retail industry has many unorganized retailers in the form of local Kirana stores, owner-manned general stores, chemists, footwear shops, apparel shops, hand-cart hawkers, pavement vendors, etc. Organized retailing is based on the principle of unity, while unorganized retailing is based on the principle of singularity. Though there are a lot of unorganized retailers in India, the last 3-4 years have witnessed the entry of several organized retailers in the market with emergence of modern formats.

India's retail sector was experiencing exponential growth with retail development happening in cities, metros and small cities. Healthy economic growth, changing demographic profiles, increasing disposable income, urbanization, and changing consumer tastes/preferences have been some of the factors driving growth in the organized retail market in India. The branded goods in the categories of apparel, cosmetics, footwear, watches, beverages, food and jewelry are the businesses that are slowly evolving in the Indian market. Similarly, India has also attracted international retailers due to rising disposable income. Therefore, the organized retail sector is expected to capture a significant chunk of the market in the future.

CHALLENGES FACED BY THE INDIAN RETAIL INDUSTRY

- *Changing Indian Consumers:* Indian consumers have radically transformed over the past few years. They are exposed to the shopping cultures of the West and want a wider variety of products to fulfill their desire, thereby improving their standard of living. This has brought multiple organized retailers into the market, increasing the competition.
- *Supply Chain:* The Indian retail industry has problems getting products from suppliers to the retail outlets. These problems include disorganized supply chains, bad roads, inadequate warehouse facilities, and lack of modern technology. Additionally, some products need to be kept cold, but more facilities must be provided. These issues make it more expensive and more complicated for stores to sell things. To fix this, retailers are trying to use new technology and also working on improving the infrastructure capabilities.
- *Smaller Stores:* Compared to stores in other countries, Indian shops are relatively small, often less than 500 square feet. While these small shops might have limited choices and space, they offer personalized service and suit local shopping habits. However, bigger stores are becoming more popular due to consumers exploring for modern shopping experiences.

- *Theft and fraud:* In retail sector, management faces pilferage which can hurt the business financially. To tackle the same, retailers use security measures and train employees.

OPPORTUNITIES IN THE INDIAN RETAIL INDUSTRY

- *Higher Incomes:* High employment has been generated due to liberalization and multinationals entering the Indian market. Consumption and income are projected to increase in the upcoming years, which sets the stage.
- *Promising retail in the country:* Several international retailers are trying to invest in India to leverage the strong demand from Indian consumers. In the coming years, retail market will evolve into a mature and more extensive market.
- *Expansion in the financial sector:* Credit cards and short-term loans are easier to access now than a decade ago. Flexible financing options and credit card reward schemes are motivating Indian consumers to engage more in shopping.
- *Store Layouts:* Attractive and strategic store layouts have increased impulsive buying behavior in people.
- *Technology through mobile:* It is essential for retailers to be present online to cater to the growing Indian online shoppers. They are also going for multi-channel retailing, giving various options to consumers in their mode of shopping.

INDIAN APPAREL RETAIL INDUSTRY

The textile business has become a significant force since it touches on so many facets of society, including fashion, culture, and various climates. The retail sector consists of offerings made of textiles worn by individuals such as clothes, accessories, and even footwear. The apparel retailing industry has been expanding. The apparel retail market in India is a vibrant and quickly changing sector. It comprises everything from mass-market clothes to high-end luxury fashion, encompassing a broad spectrum of products from conventional ethnic dress to Western fashion labels.

One of the most significant issues that Indian retail faces is related to the lack of technology adoption. They must make it easy for clients to pay the bills, manage stock records, and provide adequate supplies of software for detecting client preferences, such as RFID. Software adoption is necessary for improved store operations and high levels of client satisfaction. This issue directly impacts customer satisfaction since customers desire a sophisticated shopping experience and adequate infrastructure. In addition, it is necessary to have adequate warehouse space.

ABOUT THE COMPANY

PUMA is well known for having a significant presence in the sports and lifestyle sectors, especially in athletic footwear and sportswear. For many years, the company has always maintained its four pillars of legacy: sport, technology, innovation, and design. The company focuses on offering original designs and has a global approach to each product range. In 2006, PUMA entered India. In addition to standalone stores in India, PUMA products were frequently sold in shop-in-shop setups inside either big-box department stores or multi-brand athletic stores. The company has over 9,000 employees worldwide and distributes its goods in over 120 countries. PUMA's Indian retail operations were projected to strongly emphasize sustainability and ethical business principles, similar to its global operations. To increase brand awareness and loyalty, the company frequently connected with Indian consumers through various marketing initiatives, events, and social media promotions.

CATEGORY MANAGEMENT

PUMA's product categories are essentially classified into four major areas:

- **Footwear:** This comprises all forms of footwear, such as running shoes, training shoes, football studs, basketball shoes, lifestyle shoes and sandals. PUMA is well-known for its creative and fashionable footwear, and its goods are popular among athletes and casual consumers.
- **Apparel:** PUMA's apparel category contains a wide assortment of clothes, including t-shirts, shorts, jeans, jackets, hoodies and sportswear. PUMA's

clothing is both comfortable and fashionable, making it popular with customers of all ages.

- **Equipment:** PUMA's equipment area offers a variety of goods for numerous sports, such as soccer balls, basketballs, running watches, and fitness trackers. PUMA's equipment is designed to help athletes perform at their best, and it is popular among both professional and amateur athletes.
- **Accessories:** PUMA's accessories department offers a wide selection of goods such as socks, caps, purses, and water bottles. PUMA's accessories are both functional and fashionable, and are popular among consumers who search for high-quality goods.

PUMA's category management approach is based on the following principles:

- **Customer focus:** PUMA's category managers are committed to understand the requirements and desires of their target customers. They do market research and use data analytics to uncover industry trends and opportunities.
- **Profitability:** PUMA's category managers are committed to increase profitability. When determining pricing and making product selection decisions, they effectively examine product costs, competitive prices, and client demand.
- **Collaboration:** PUMA's category managers collaborate extensively with cross-functional teams, including merchandising, buying, marketing, and sales, to create and implement successful category management strategies.

THE ROAD AHEAD

PUMA had considerable sales growth in the fiscal year 2021. The major focus was on sustained brand momentum as well as operational flexibility. Both sales and operating profit were the highest PUMA had ever achieved. Despite that, the worldwide business environment remained quite unsettled. Firstly, there were several inefficiencies in the way the deadstock was handled at the end of each season. Deadstock was supposed to be registered in the software. After that, transportation plans were put in place, and the deadstock travelled a long way to get to the central warehouse in Bangalore. When deadstock reached the central warehouse, it went through rigorous inspection and careful documentation process. New stock was shipped out once this procedure was completed.

This operational trajectory resulted in an undesired delay that significantly impaired the supply chain's responsiveness.

Secondly, customer loyalty was a valuable asset that could significantly impact a store's success. PUMA had recognized the importance of cultivating strong customer relationships and fostering store loyalty as a cornerstone of its business strategy. PUMA's CRM strategy needed to be designed better to deeply understand customers' preferences and behaviours. PUMA's commitment to building strong customer relationships went beyond discounts and loyalty points. PUMA had to design an effective loyalty program which helped them in customer retention in the long run. Therefore, PUMA's management team had to develop a market growth and expansion plan by keeping the challenges and opportunities in the current scenario in mind, with a major focus on supply chain operations and loyalty program.
